

- A footnote discloses that Lucent had lent \$1.5 billion to purchasers of its products. Lucent was also on the hook for \$350 million in guarantees for money its customers had borrowed elsewhere. The total of these “customer financings” had doubled in a year—suggesting that purchasers were running out of cash to buy Lucent’s products. What if they ran out of cash to pay their debts?
- Finally, Lucent treated the cost of developing new software as a “capital asset.” Rather than an asset, wasn’t that a routine business expense that should come out of earnings?

CONCLUSION: In August 2001, Lucent shut down the Chromatis division after its products reportedly attracted only two customers.² In fiscal year 2001, Lucent lost \$16.2 billion; in fiscal year 2002, it lost another \$11.9 billion. Included in those losses were \$3.5 billion in “provisions for bad debts and customer financings,” \$4.1 billion in “impairment charges related to goodwill,” and \$362 million in charges “related to capitalized software.”

Lucent’s stock, at \$51.062 on June 30, 2000, finished 2002 at \$1.26—a loss of nearly \$190 billion in market value in two-and-a-half years.

The Acquisition Magician

To describe Tyco International Ltd., we can only paraphrase Winston Churchill and say that never has so much been sold by so many to so few. From 1997 through 2001, this Bermuda-based conglomerate spent a total of more than \$37 billion—most of it in shares of Tyco stock—buying companies the way Imelda Marcos bought shoes. In fiscal year 2000 alone, according to its annual report, Tyco acquired “approximately 200 companies”—an average of more than one every other day.

The result? Tyco grew phenomenally fast; in five years, revenues went from \$7.6 billion to \$34 billion, and operating income shot from a \$476 million loss to a \$6.2 billion gain. No wonder the company had a total stock-market value of \$114 billion at the end of 2001.

But Tyco’s financial statements were at least as mind-boggling as its growth. Nearly every year, they featured hundreds of millions of dollars in